

6-8a FDI versus Outsourcing

While this chapter has focused on FDI, we need to be aware that FDI is *not* the only mode of foreign market entry (see [Chapter 10](#)). Especially when undertaking a value chain analysis regarding specific activities (see Chapter 4), a decision to undertake FDI will have to be assessed relative to the benefits and costs of outsourcing. Recall from Chapter 4 that in a foreign location, overseas outsourcing becomes “offshoring,” whereas FDI—that is, performing an activity in-house at an overseas location—has been recently labeled “captive sourcing” by some authors (see Figure 4.4). A strategic debate is whether FDI (captive sourcing) or outsourcing will serve firms’ purposes better.

The answer boils down to

- (1) how critical the activity being considered to perform abroad is to the core mission of the firm,
- (2) how common the activity is being undertaken by multiple end-user industries, and
- (3) how readily available the overseas talents to perform this activity are.

If the activity is marginal, is common (or similar) across multiple end-user industries, and is able to be provided by proven talents overseas, then outsourcing is called for. Otherwise, FDI is often necessary. For instance, when Travelocity outsourced its call center operations to India, its rival Sabre carefully considered its options. Sabre eventually decided to avoid outsourcing and to initiate FDI in Uruguay.